

Nvidia Corporation (NVDA)

Equity Research Report

Analyst: Niko Hoogeveen
Date: December 23, 2025

Rating	Buy
Price Target	\$248.26 (+41% Upside)
Current Price	\$183.69
52-Week Range	\$86.63 – \$212.19
Market Cap	\$4.30T
Sector	Technology (Semiconductors / AI)
Primary Thesis	Nvidia remains the foundational compute layer of the global AI economy.

Investment Thesis

Nvidia represents one of the strongest secular growth opportunities in global markets, powered by its unmatched leadership in accelerated computing, AI infrastructure, and next-generation data center architectures. Demand for both training and inference continues to accelerate across hyperscalers, enterprises, sovereign buyers, and AI startups, positioning Nvidia at the center of what management describes as a multi-trillion-dollar AI infrastructure buildout. Operational execution has remained strong, with revenue beating expectations in three of the last four quarters and Q3 FY2026 revenue reaching \$57.0B (vs. \$54.0B expected). With expanding margins (gross margin of 73.4% in Q3 FY2026) and strong free cash flow generation (TTM FCF of \$60.853B), Nvidia remains a high-conviction long-term buy.

Market Mispricing

The market continues to underestimate the duration and scale of AI infrastructure spending, particularly the rapid growth of inference workloads and the expanding attach rate of networking and software. While investor focus remains on near-term hyperscaler CapEx cycles, Nvidia’s visibility into multi-year AI factory deployments and sovereign compute projects suggests demand durability well beyond current consensus expectations.

Key Points:

- **AI Infrastructure Dominance:** Nvidia maintains a multi-year lead in accelerated computing and AI training hardware, reinforced by CUDA, software ecosystem advantages, and the rapid ramp of the Blackwell architecture.
- **Explosive Data Center Growth:** Data Center revenue reached new highs driven by H200 and Blackwell adoption, with visibility into over \$0.5T of demand through 2026.
- **Expanding Margins & Strong FCF:** Gross margins expanded to 73.4% in Q3 FY26, while operating margins exceeded 63%, supporting strong free cash flow generation.

- **Growing AI Inference Wave:** Inference demand is accelerating due to agentic models, test-time scaling, and adoption across consumer and enterprise applications.

Key Risks:

- **Competitive Pressure:** Increased competition from AMD or custom ASICs could pressure pricing or slow market share gains.
- **Customer Concentration:** Heavy reliance on hyperscalers introduces revenue volatility if CapEx cycles pause or shift.
- **Regulatory Constraints:** Export controls may limit growth in China and other regulated regions.
- **Supply Chain Bottlenecks:** Constraints in HBM memory or advanced packaging could delay revenue realization.

Company Overview

Business Summary

Nvidia is the global leader in accelerated computing, powering AI training, inference, high-performance computing, and next-generation gaming experiences. Its core revenue driver is the Data Center segment, supported by a rapidly expanding software, networking, and systems ecosystem. Key markets include cloud AI, enterprise AI, sovereign compute, gaming, professional visualization, and automotive compute.

Segment Breakdown

Segment	Description
Data Center	AI chips (H200, Blackwell), networking, enterprise software; majority of total revenue
Gaming	GeForce RTX GPUs, emerging AI-PC adoption
Pro Visualization	Workstation GPUs for design, graphics, AI development
Automotive	AI compute platforms for ADAS and autonomous systems
OEM & Other	Legacy compute and miscellaneous hardware/software

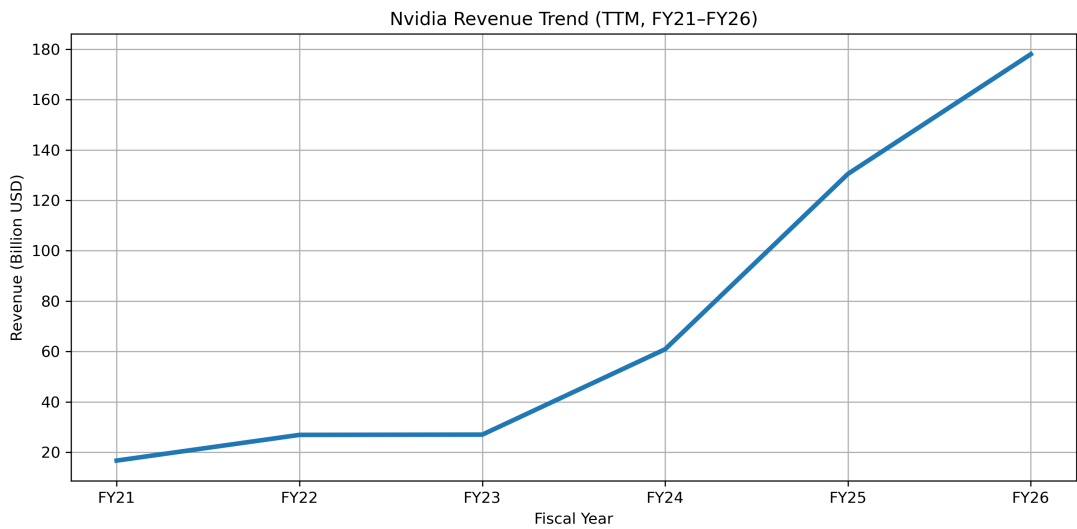
Catalysts

- Ongoing Blackwell and Rubin architecture ramp across cloud providers and sovereign AI.
- Surging inference workloads driven by agentic models and longer context windows.
- Expansion of AI factories and multi-gigawatt training clusters.
- Continued supply chain scaling of HBM and advanced packaging.
- RTX 50-series adoption across gaming and AI-PC ecosystems.

Financial Overview

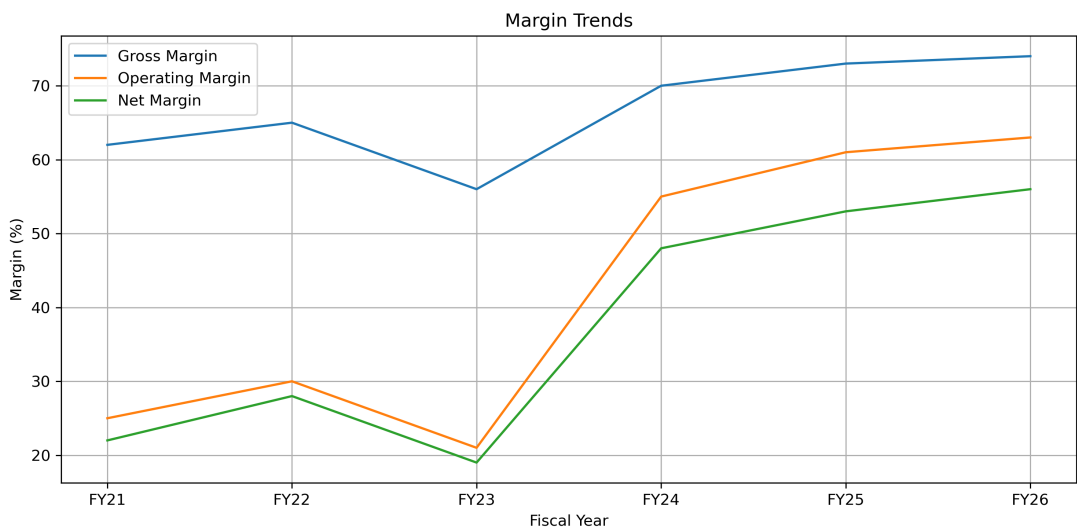
On a trailing twelve-month basis (as of Oct 2025), Nvidia reported \$130.50B in revenue and \$60.853B in free cash flow, reflecting exceptional operating leverage. Profitability has continued to improve, with gross margin expanding from roughly 70% (TTM) to 73.4% in Q3 FY2026 alongside operating margin above 63%.

Revenue and Profit Trends



Nvidia Revenue Trend (TTM, FY21–FY26)

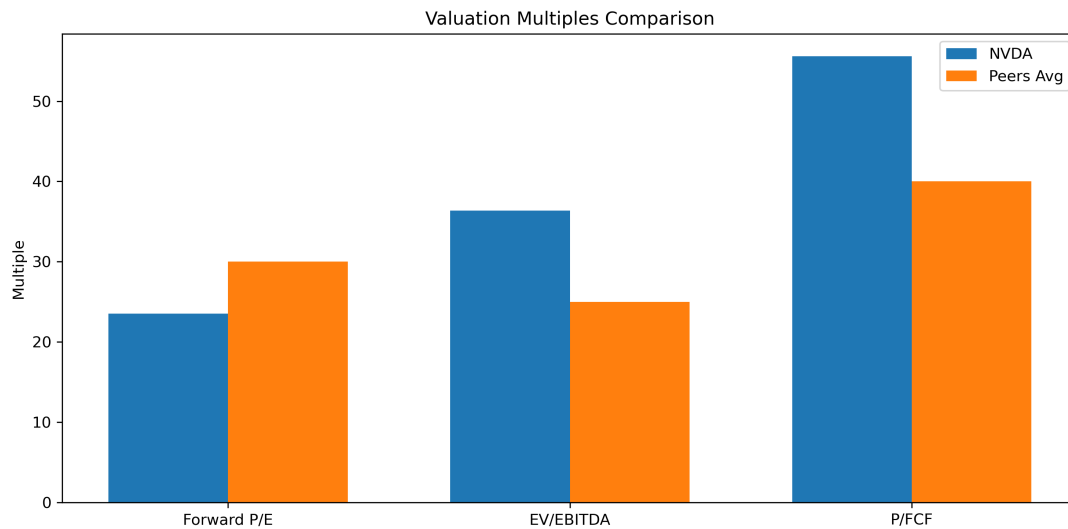
Margins



Gross, Operating, and Net Margin Trends

Valuation

Multiples Comparison



Valuation Multiples vs. Peer Average

DCF Summary

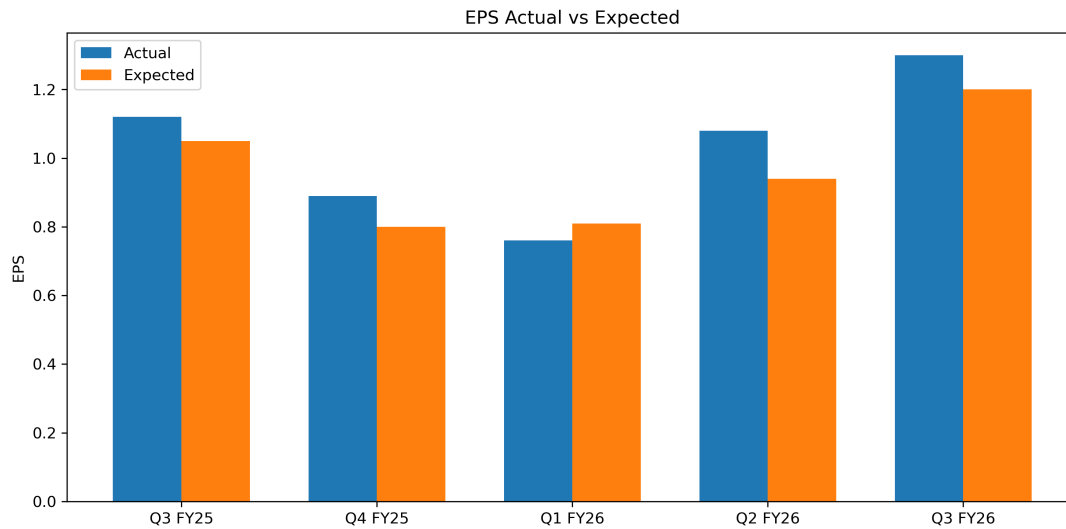
- Revenue growth assumption: 25–30% CAGR (near-term)
- Operating margin assumption: 58–62%
- Discount rate (WACC): 10%
- Terminal growth: 3%
- Implied intrinsic value: \$240–\$255 per share

Nvidia's valuation premium is justified by its dominant competitive position, superior margins, and unmatched visibility into future demand. Unlike prior semiconductor cycles, current growth is driven by structural AI adoption rather than cyclical end-market recovery, supporting higher sustained returns on invested capital.

Earnings Analysis

EPS Surprise Trend

Nvidia has maintained a pattern of strong execution versus expectations, beating revenue estimates in each of the last four reported quarters (Q4 FY25 through Q3 FY26), and beating EPS estimates in three of those four quarters. Commentary across these quarters consistently emphasized rapid Blackwell ramp, accelerating inference demand, and expanding AI factory deployments across cloud, enterprise, and sovereign customers.



EPS Actual vs. Expected — Last 6 Quarters

Management Commentary Themes

- Strong demand for Blackwell and new inference workloads.
- Rapid expansion of AI factories and sovereign compute projects.
- Gaming recovery driven by AI-PC adoption and RTX 50-series.
- Increasing visibility into multi-year hyperscaler CapEx cycles.

Forecast Summary

- FY2026 revenue forecast: \$178B–\$185B
- EPS outlook: Strong double-digit expansion
- Margin expectation: Sustained 60%+ operating margin
- Key assumptions: AI training demand, inference scaling, Blackwell supply expansion

Conclusion and Recommendation

- Nvidia is uniquely positioned at the center of a multi-trillion-dollar AI infrastructure buildout.
- Core segments (Data Center + Gaming) remain supply constrained with accelerating demand.
- Margins continue expanding due to scale, software, and networking mix.
- My valuation of \$248.26 per share implies substantial upside, supporting a **Buy** rating.

Appendix

Key Quarterly Results Summary

Quarter	Actual Revenue	Est. Revenue	EPS (Actual)	EPS (Est.)
Q4 FY2025	\$39.3B	\$37.5B	0.89	0.80
Q1 FY2026	\$44.1B	\$43.0B	0.76	0.81
Q2 FY2026	\$46.7B	\$45.0B	1.08	0.94
Q3 FY2026	\$57.0B	\$54.0B	1.30	1.20
Q4 FY2026E	\$65.0B	—	1.46E	—

Nvidia quarterly revenue and EPS versus consensus expectations.